

South Korea and Taiwan: AI-led growth momentum

DEEP DIVE



MARKETS 360TM

STRATEGY & ECONOMICS

09 February 2026

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KEY MESSAGES

We think the electronics cycle is still in an expansionary stage, backed by robust AI demand, and will continue to support the South Korean and Taiwanese economies.

For South Korea, we raise our 2026 GDP growth forecast to 2.3% and 2027 to 1.9%. We also raise our headline CPI forecasts for both years to 2.2%. We still expect the Bank of Korea to hold the policy rate at 2.50% to end-2027, given a high bar for a cut or hike.

For Taiwan, we sharply raise our 2026 GDP growth forecast to 5.9% and expect 2.1% growth in 2027. We estimate headline CPI inflation at 1.7% in 2026 and 1.8% in 2027. We expect the CBC to hold the policy rate at 2.00% to end-2027, but with risks skewed to a hike.

We estimate the latest reduction in Taiwan's 'reciprocal' US tariff rate (from 20% to 15%) will take the effective rate down by 0.7–0.8pp to around 3.1%, but with little to no impact of note on GDP growth.

FX: We expect the KRW to outperform given an improving flow picture that reflects fundamentals as well as efforts by the authorities. The TWD should underperform, we think, given a persistent appetite for overseas assets among local investors.

Rates: We have a bias towards receiving TWD front-end rates, and a bias towards receiving KRW long-end rates due to the steep curve and expected WGBI inflows.

Equities: Domestic retail demand for Korea and Taiwan equities has helped absorb foreign investor profit-taking outflows after strong YTD outperformance. Valuations still look moderate, thanks to robust EPS expectations, but volatility prompts us to wait for a better entry point.

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Hyperscaler capex expansion to drive demand for chips

Sweet spot for AI-related computing demand: Despite geopolitical turbulence, AI development remains in full swing, primarily driven by hyperscalers' heavy capex on AI models and data-center infrastructure. After a rise of more than 60% y/y in 2025, Bloomberg consensus is for continued robust capex growth exceeding 54.3% in 2026 and 14.4% in 2027 (Figure 1). This extraordinary growth outlook signals strong, sustained demand for advanced semiconductors, positioning South Korea and Taiwan – both specialists in memory and logic chips – as the primary beneficiaries (see [South Korea & Taiwan: Fair wind set to boost chip sector](#), dated 31 October).

Structural shift could reform the semiconductor cycle: Over past 30 years, global semiconductor demand has progressed through distinct phases.

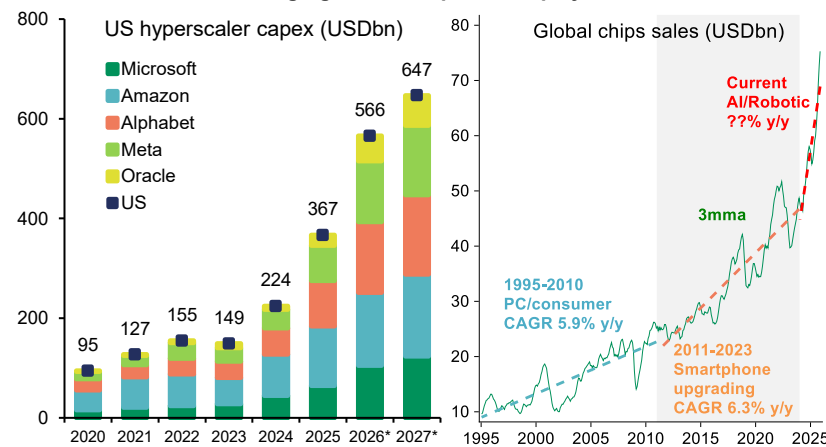
- **1995–2010:** Growth was driven primarily by PCs and consumer electronics.
- **2011–2023:** Boom in smartphone-upgrade cycle became a dominant catalyst.
- **Since 2024:** AI-driven computing has taken the lead.

This evolution has shifted the predominant ultimate end-user from individual consumers to corporates, which tend to adopt a more systematic approach to financial planning and demand forecasting. In addition, the primary purchasers of AI hardware – hyperscalers – operate with high profit margins and ample cash balances, making demand relatively insulated from broader business-cycle fluctuations. Consequently, the current upward semiconductor cycle appears more durable than previous cycles and could extend through 2027, in our view, provided this demand remains intact.

Cycle momentum to continue: From a macro perspective, the current electronic cycle is still in an expansionary stage, as AI demand remains robust. Meanwhile, chip manufacturers have taken a more prudent approach on supply management to support their profitability.

Yet, we observe a divergence between South Korean and Taiwanese chip inventories: chip makers in the former continue to digest inventory while those in the latter have started to accumulate it. Overall, however, inventories have continued to decline; thus, we see little pressure from inventory accumulation, which should support a continuation of the current expansionary cycle throughout 2026.

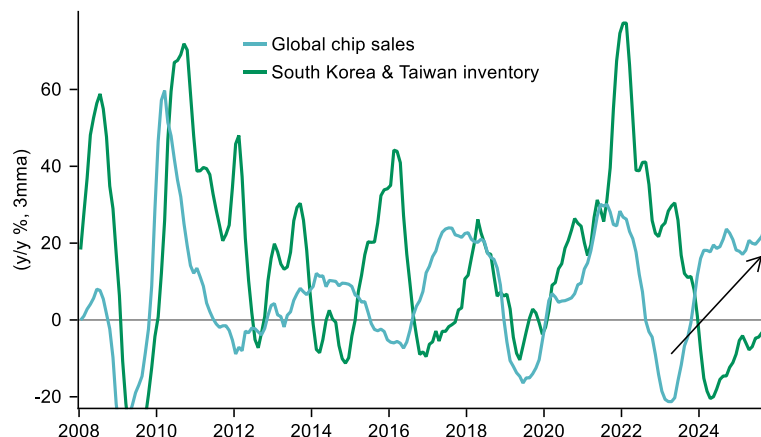
Figs. 1 and 2: US large-cap cloud service provider capex continues to climb, bringing a robust upward chip cycle



*Bloomberg consensus forecasts

Sources: Bloomberg, SIA, Macrobond, BNP Paribas

Fig. 3: North Asia tech upcycle has lasted longer than previous cycles



Sources: SIA, Macrobond, BNP Paribas

More price-driven growth in 2026

AI race has triggered semiconductor inflation: Hyperscalers are reportedly now willing to lock in chip supply by accepting higher contract prices ([TrendForce](#), 5 January). Combined with semiconductor manufacturers' increasingly careful supply-management strategies and growing demand for computing power – which supports higher prices and profit margins – this dynamic is driving a sharp price surge, especially in DRAM and NAND where Korean manufacturers are dominant.

A second, equally critical driver of the current supply crunch is the rapid evolution of AI-focused chips. A large Korean semiconductor manufacturer has noted that advanced High-Bandwidth Memory requires more multi-stacked DRAM, consuming a disproportionate share of memory-fab capacity. Because HBM delivers substantially higher margins, producers are reallocating capacity toward AI-related demand. This reallocation, together with the industry's cautious approach to capacity expansion, is also pushing up prices for legacy DRAM products such as DDR4 and other mature-node memories.

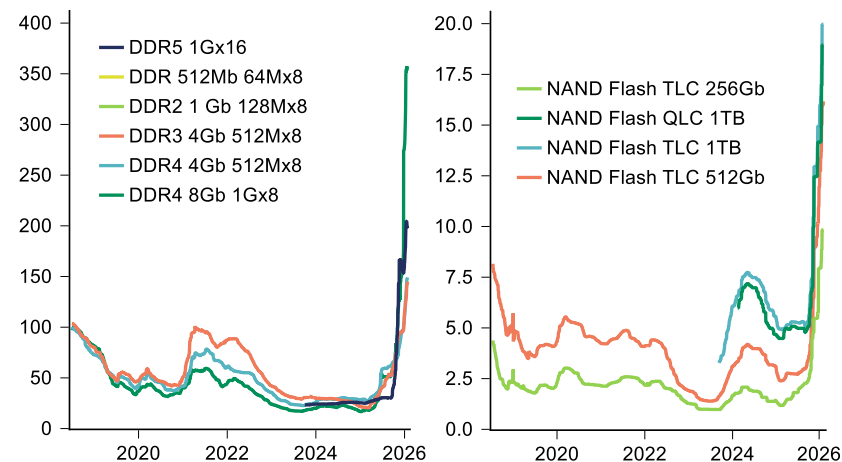
We have seen similar developments in other semiconductors.

- **NAND Flash:** AI applications are maintaining robust demand. Producers are also allocating most capacity to higher-margin products, while older-node capacity has rapidly contracted, tightening wafer supply and supporting prices.
- **Logic:** As Taiwan and Korea's major fabs trim their output in favor of AI supply (12-inch wafers), 8-inch wafer supply has tightened. Meanwhile, AI-related demand for power-management integrated circuits is growing steadily, and concerns over higher IC costs are prompting early inventory builds. Producers have already received more orders and are raising capacity utilization, while contemplating price hikes at the same time.

Risks from sluggish consumer demand: Consumer electronics vendors are raising prices in response to surging memory costs, which might dampen already sluggish consumer electronics demand. IDC has predicted a single-digit year-on-year decline in sales for both the smartphone and PC markets ([IDC](#), dated 18 December).

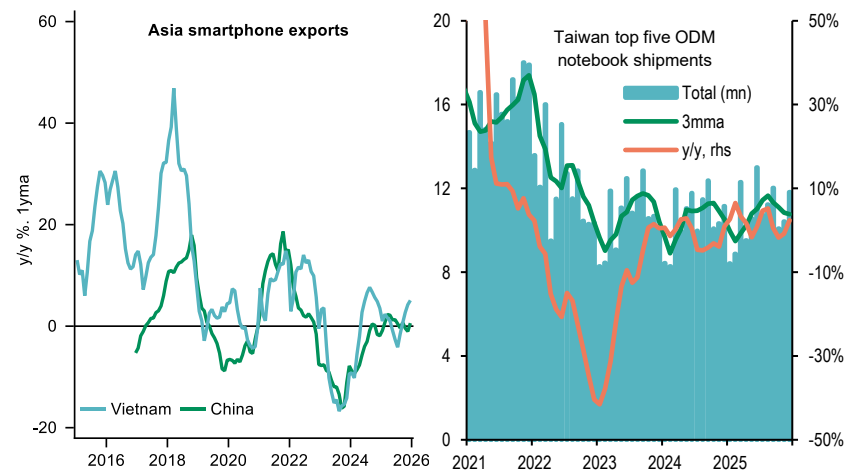
Though consumer electronics are no longer the growth driver for the semiconductor industry, they still represent a sizable share of total demand. Consequently, even though our base case assumes the upward chip cycle persists through 2027, we see a nuanced risk balance for this year, depending on demand for consumer electronics.

Figs. 4 and 5: DRAM and NAND price have surged with tight supply



Sources: Bloomberg, BNP Paribas

Figs. 6 and 7: Consumer electronics demand might remain sluggish



Sources: National statistics offices, company financial filings, BNP Paribas

Upgrades to growth forecasts; more may be on the way

South Korea: We raise our 2026 GDP growth forecast to 2.3% from 2.0%, and lift our 2027 forecast to 1.9% from 1.8%. We expect the output gap to stay in negative territory, albeit to a lesser degree as growth rises faster than recent trends (Figure 9).

Domestic demand will be critical in the coming years. We expect an increase in its contribution to growth compared to 2025, with consumption likely supported by wealth effects and base effects, as well as by expansionary fiscal budgets – although we note downside risks from an increased loan-repayment burden. On investments, we expect modest momentum. Construction investment could be supported by an increase in orders, SOC spending by the government and AI-related infrastructure investment, but we remain cautious on the speed of the rebound due to structural factors. IT investments could support facilities investment, but non-IT sector sentiment looks weak.

In addition, we think the government could consider a KRW10–15trn supplementary budget in Q2 2026 ahead of local elections. This would likely add 0.1–0.2pp to 2026 GDP depending on the details. We do not expect deficit-driven bond issuance as better-than-expected earnings should generate excess corporate tax revenue.

We see a shallower contribution to growth from net exports. While semiconductor exports will likely rise further, we think this will be driven more by prices than volume, as highlighted on [page 4](#). Exports of other goods are likely to continue to face downside risks from US tariffs. Meanwhile, we think imports will gradually recover amid improvements in domestic demand.

Taiwan: We sharply raise our 2026 GDP growth forecast by 3.1pp to 5.9% but cut our 2027 forecast by 0.5pp to 2.1%. This reflects the Q4 2025 upside surprise (5.5% q/q sa and 12.7% y/y) which resulted in a remarkable 8.5% rise in full-year GDP.

As was the case in 2025, we think the IT sector will continue to support a strong growth backdrop, although its contribution to growth could narrow due to high base effects and a price-led exports recovery. We see downside risks to the non-IT sector due to the effects of US tariffs, although these could be offset by improvements in business sentiment, for which various indices have continued to rise.

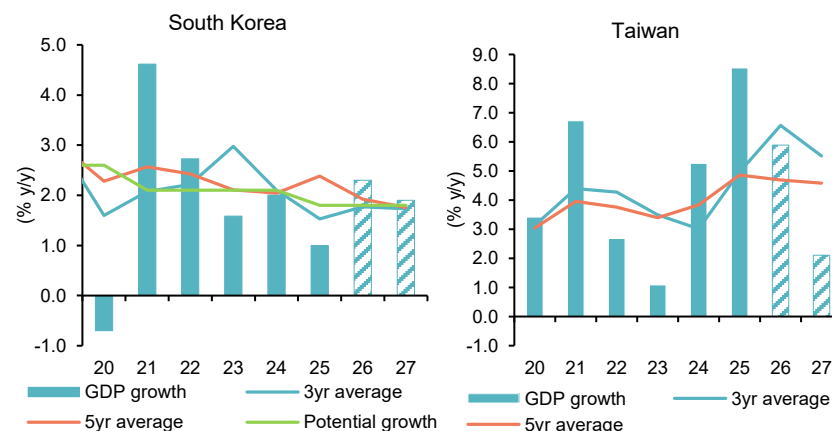
We expect private consumption to recover given a sustained rise in equity prices and improving sentiment indices. In Q4 2025, we also saw positive spillovers from the supplementary budget. These factors suggest to us there is further room for a recovery in domestic consumption.

Fig. 8: Our key forecasts for South Korea and Taiwan

		2025	2026					2027
			Q1	Q2	Q3	Q4	Annual	
South Korea	GDP (% y/y)	1.0	2.4	2.5	1.6	2.5	2.3	1.9
	CPI (% y/y)	2.1	2.1	2.2	2.4	2.2	2.2	2.0
	Current account (USDbn)	123.1	32.9	32.8	36.3	37.3	139.4	113.4
	Policy rate (% eop)	2.50	2.50	2.50	2.50	2.50	2.50	2.50
Taiwan	GDP (% y/y)	8.5	9.2	7.2	6.0	1.1	5.9	2.1
	CPI (% y/y)	1.7	1.3	1.9	1.9	1.9	1.7	1.8
	Current account (USDbn)	183.4	50.8	47.2	37.8	49.3	185.1	160.8
	Policy rate (% eop)	2.00	2.00	2.00	2.00	2.00	2.00	2.00

Source: BNP Paribas

Figs. 9 and 10: GDP growth relative to previous averages



Striped bars indicate BNPP forecasts. Sources: Bank of Korea, DGBAS, CEIC, BNP Paribas

Inflation: Embedding more upside risks than the central banks

South Korea: We raise our headline CPI inflation forecast to 2.2% for both 2026 and 2027, up from 2.1% and 2.0%, respectively. We think core inflation will be lower than headline, at 2.0% for both years.

We still expect a benign inflationary backdrop, supported by a modest pace of regular wage growth, stable consumer inflation expectations and government efforts to keep a lid on administered prices (about 20% of the CPI basket). Overall, we think demand-side inflationary pressures will be limited, as our core CPI forecast suggests.

That said, we think uncertainty remains high, especially for supply-side factors. An extended period of KRW weakness could fuel inflationary pressures; a 10% higher USDKRW would lift inflation by about 0.3pp in the short term, and 0.5pp further out, according to a February 2025 [BoK report](#) (Korean only). Global oil prices are also important – we think a 10% rise could lift the CPI by 0.3pp.

Taiwan: We lift our 2026 headline CPI forecast to 1.7% from 1.4% and our 2027 forecast to 1.8% from 1.5%. Core inflation could outpace headline inflation in 2026, in our view; we project core inflation of 1.8% in both years.

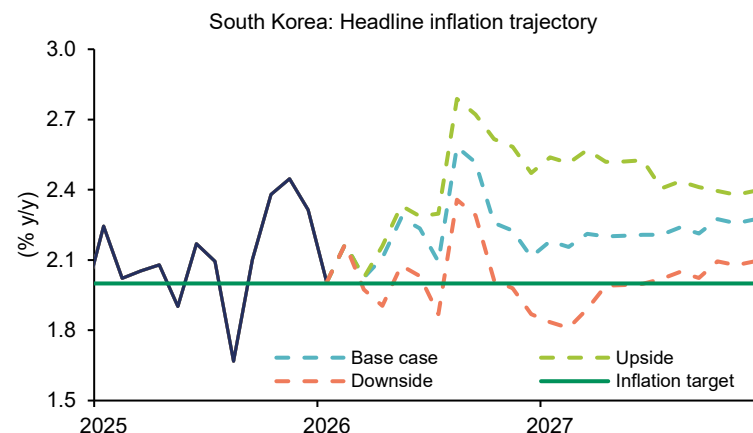
The revisions reflect expected improvements in domestic demand, primarily on the consumption side, which we think could drive inflationary pressure in services. Still, the path for inflation may be volatile given considerable uncertainty around global commodity prices, weather conditions and the pace of recovery in domestic demand.

Our base case appears to embed more potential inflationary pressures than revealed by the CBC's assessment at its December meeting – at which we think the central bank may have given too little weight to the upside risks.

Tech contribution: Meanwhile, we think the AI narrative should continue supporting current account expansion over 2026–27 in South Korea and Taiwan (Figure 8).

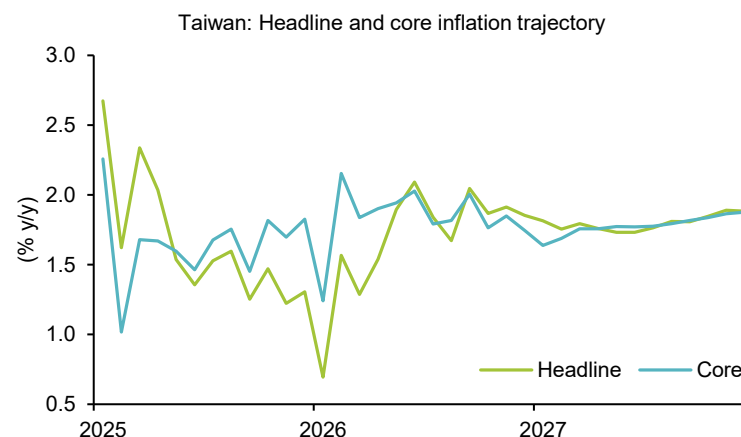
- We forecast South Korea's current account surplus to rise to USD139.4bn (7.2% of GDP) in 2026 after reaching USD123.1bn (6.6% of GDP) in 2025, before falling back to USD113.4bn (5.6% of GDP) in 2027.
- We forecast Taiwan's current account surplus to expand to USD185.1bn (18.8% of GDP) in 2026 after rising to USD183.4bn (20.1% of GDP) in 2025. It should then reduce to USD160.8bn (15.5% of GDP) in 2027.

Fig. 11: We view risks to our Korea CPI forecasts as tilted to the upside



2026–2027 entries reflect BNP Paribas forecasts. Sources: Statistics Korea, CEIC, BNP Paribas

Fig. 12: We expect Taiwan CPI to inch higher over 2026–2027



2026–2027 entries reflect BNP Paribas' forecasts. Sources: DGBAS, CEIC, BNP Paribas

Policy rates seen on hold to end-2027, with risks skewed to a hike

South Korea: We still expect the Bank of Korea to hold the policy rate at 2.50% through to end-2027 in our base case. At this juncture, we see a high bar for either a rate cut or hike. We think the likelihood of the latter is higher than the former.

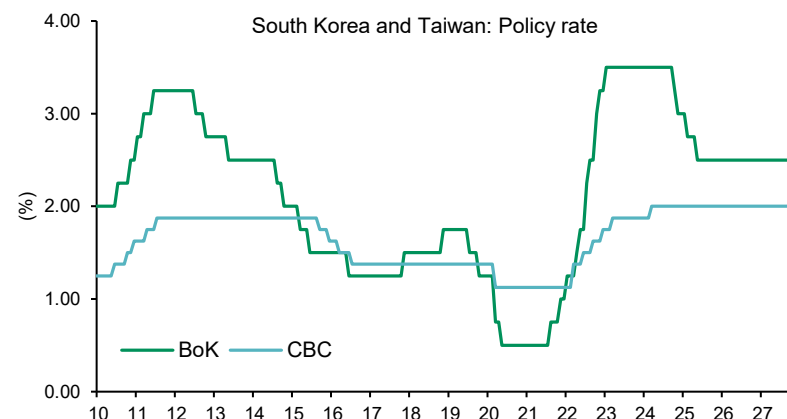
- **Case for a rate cut:** We think several conditions would need to be fulfilled for the BoK to consider cutting rates. It would need to see evidence of a continued and widening negative output gap. Also, the labour market would need to show further signs of deterioration alongside a sustained increase in the unemployment rate. There would need to be evidence that inflationary risks were contained, and that risks of further disinflation were increasing. Moreover, elevated financial stability risks from KRW weakness and a continued rise in Seoul metropolitan area housing prices may need to be contained.
- **Case for a rate hike:** We think inflation is key. If a positive shift in the output gap is associated with sharp increases in inflationary pressure, the BoK may seriously consider hiking rates, in our view. More specifically, several consecutive prints showing monthly y/y CPI inflation above 2.5% could quickly shift the central bank's focus to inflation. We think rate hikes could come into play in this scenario, especially if they are supported by lingering financial stability concerns.

Taiwan: We no longer expect a recalibration rate cut in Q3 2026 and forecast the CBC to hold the policy rate at 2.00% until 2027, from 1.875% previously. With GDP growth continuing to sharply exceed expectations, we think the CBC will find it harder to find reasons to cut rates.

We see risks as tilted towards a rate hike in H2 2026. In our view, the CBC has so far downplayed the possibility of rate hikes – as hinted at by CPI inflation forecasts that we consider somewhat modest. In its December update, the CBC revised lower its headline 2026 CPI inflation forecast to 1.63% (from 1.66%, previously) despite significantly upgrading 2026 GDP growth.

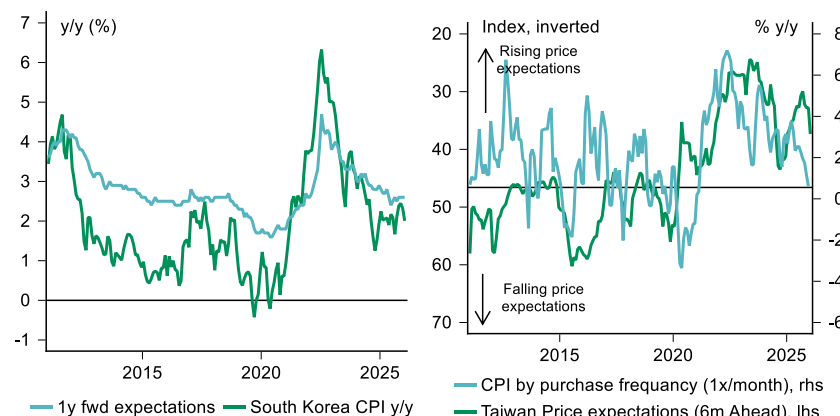
A scenario where inflation turns out to be stronger than expected, combined with growth momentum spilling over to domestic demand, could potentially trigger a rate hike from the CBC, in our view. Still, we would expect any hiking cycle to be shallower than previous examples (i.e. 2010–2011), given overall stabilization in current housing market conditions relative to that period.

Fig. 13: We expect both the BoK and the CBC to keep policy rates on hold to end-2027



Figures from 2026–27 are BNP Paribas forecasts. Sources: BoK, CBC, CEIC, BNP Paribas

Figs. 14 and 15: Inflation expectations remain stable in Korea, but have edged higher in Taiwan



Sources: BoK, DGBAS, NCU Taiwan, BNP Paribas

Stocktake on tariffs: Where are we?

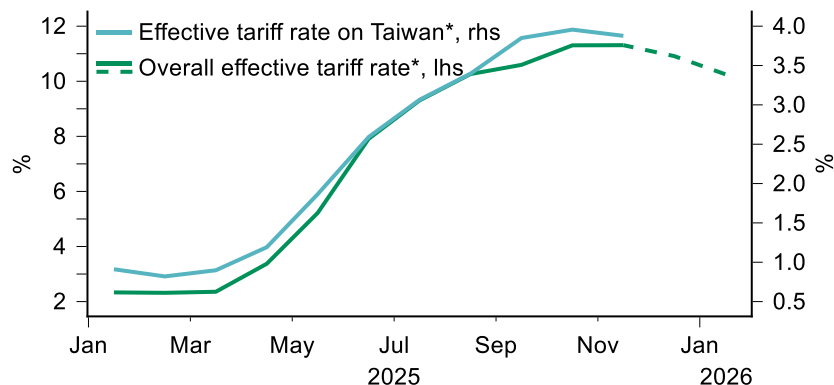
Peak tariff rate in the rear-view mirror: The latest US–Taiwan trade agreement, lowering Taiwan’s ‘reciprocal’ rate from 20% to 15%, increases our confidence that the overall, effective (i.e. collected) tariff rate imposed on Taiwan will not move any higher from where it stood in November 2025 (latest available data).

Undershoot: Taiwan is among the US trading partners whose effective tariff rate has reportedly undershot the statutory (i.e. announced) rate by the largest degree (*Financial Times*, 8 October 2025). Our own estimates, using 2024 bilateral trade values, show the reduction in the ‘reciprocal’ rate reduces the overall, statutory rate to 8.6%, but it remains comfortably above the latest effective rate of 3.9%.

This may not be an implementation issue. Tectonic shifts in the composition of US–Taiwan trade last year mean more than 80% of US imports from Taiwan (mainly electronics) are now exempted from tariffs, versus below 45% in Trump’s first term (Figure 16). Accounting for such shifts puts the latest statutory rate at 3.9%, right in line with the effective rate (Figure 18).

After all, US tariff collection from Taiwan has had nine months of data to close the gap with a theoretically higher statutory rate – and it has not. What’s more, higher frequency data through December 2025 and January 2026, of overall rather than bilateral US tariff collection, reinforces our view that the rate has peaked (Figure 17).

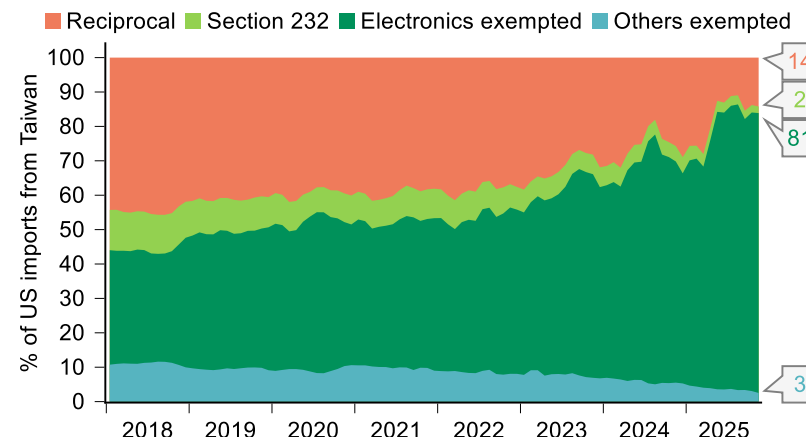
Fig. 17: High-frequency data suggest US tariff implementation may have run its course



*3m rolling sum, where Dec 25 and Jan 26 estimates are calculated assuming unchanged US imports from November, in line with imported content at major US ports.

Sources: US Census Bureau, US Department of Treasury, Macrobond, BNP Paribas

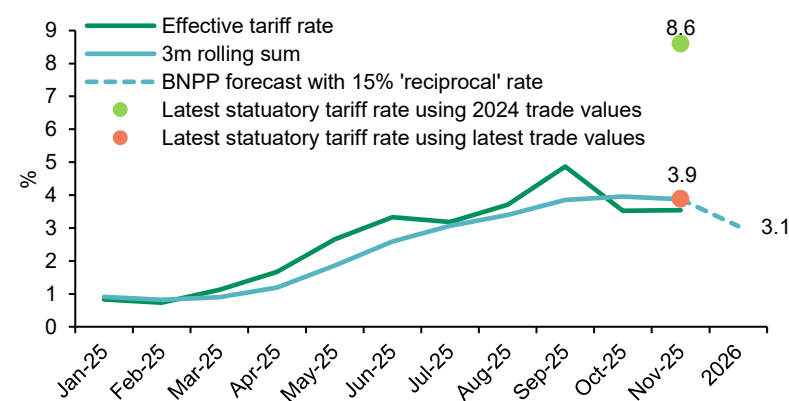
Fig. 16: US imports from Taiwan exempted from tariffs are above 80% of total



Data have been seasonally adjusted and smoothed with a 3-month rolling sum.

Sources: US Census Bureau, Macrobond, BNP Paribas

Fig. 18: Effective tariff rate on Taiwan set to edge lower from here



Sources: US Census Bureau, Macrobond, BNP Paribas

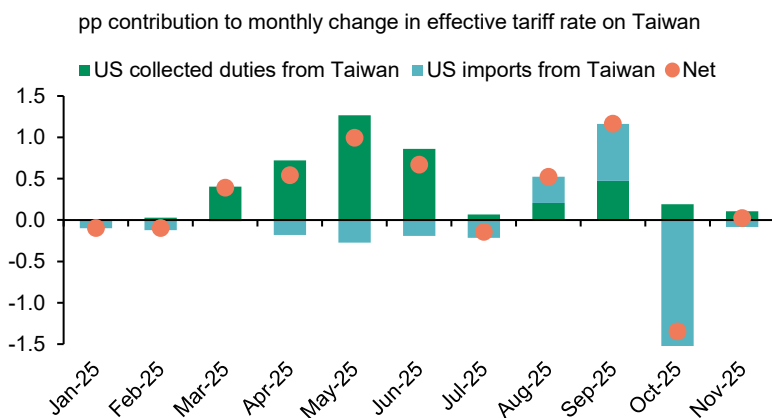
‘Reciprocal’ tariff reduction is no game changer

Constructing the effective rate: We calculate the effective tariff rate as the sum of the last three months’ US collected duties over US imports from Taiwan. This approach reflects continued noise in monthly trade data, even after seasonal adjustments (Figure 20). As a case in point, October’s tariff rate drop was exclusively a function of higher US imports (i.e the denominator), as collected duties rose relative to the prior month. Also, our modelling is built using quarterly-frequency data.

Marginal reduction in overall rate: With the share of US imports from Taiwan subject to ‘reciprocal’ tariffs amounting to around 15% in total, we estimate the reduction in the ‘reciprocal’ rate will eventually lower the overall, effective tariff rate by 0.7–0.8pp to around 3.1% (Figure 18). Our modelling does not find this to be a game changer in terms of the impact on Taiwan GDP growth.

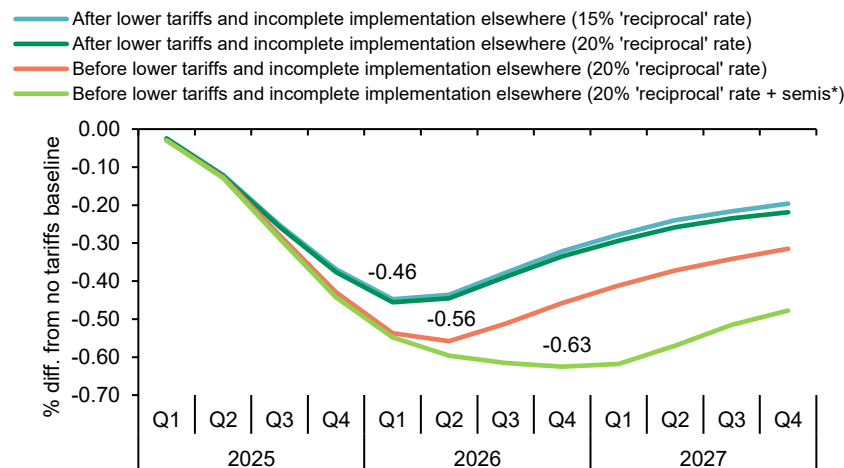
However, there is a non-negligible effect from the global tariff environment that does serve to lessen the impact on Taiwan – either through lower tariffs (e.g. China and India) or incomplete implementation (e.g. Mexico and Canada). We now expect a maximum drag on Taiwan y/y GDP growth of 0.46pp in Q1 2026 (Figure 19), but when we last modelled the overall tariff hit, we found a peak impact of –0.56pp in Q2 2026 (or –0.63pp in Q4 2027 under widespread semiconductor tariffs). For more, see [South Korea and Taiwan: Fair winds set to boost chip sector](#), dated 31 October 2025.

Fig. 20: Beware of noise in monthly bilateral trade data



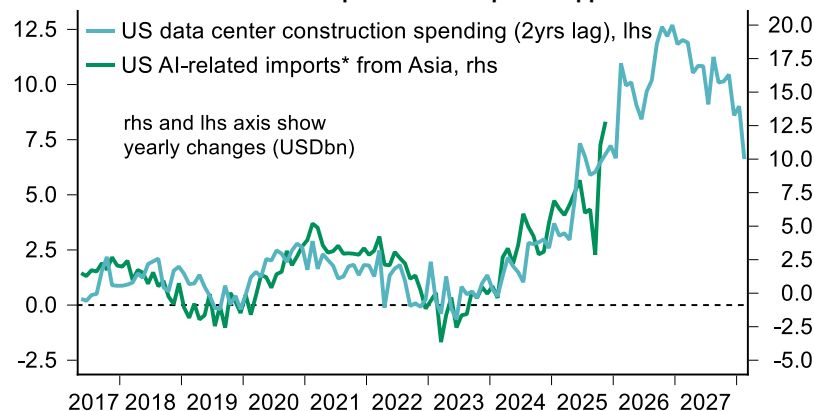
Sources: US Census Bureau, Macrobond, BNP Paribas

Fig. 19: Impact on Taiwan GDP growth (% y/y)



*Including some exemptions as outlined in [South Korea and Taiwan: Fair winds set to boost chip sector](#), dated 31 October 2025. Our simulation runs with rational expectations and exogenous (i.e. non-reactive) monetary policy and exchange rates. Sources: NiGEM, BNP Paribas

Fig. 21: There remains some, but not infinite, room for US data center construction to keep AI-related imports supported



*Including, but not limited to, computers & peripherals, data storage devices, circuit & connectors, semiconductors & related components. Sources: US Census Bureau, Macrobond, BNP Paribas

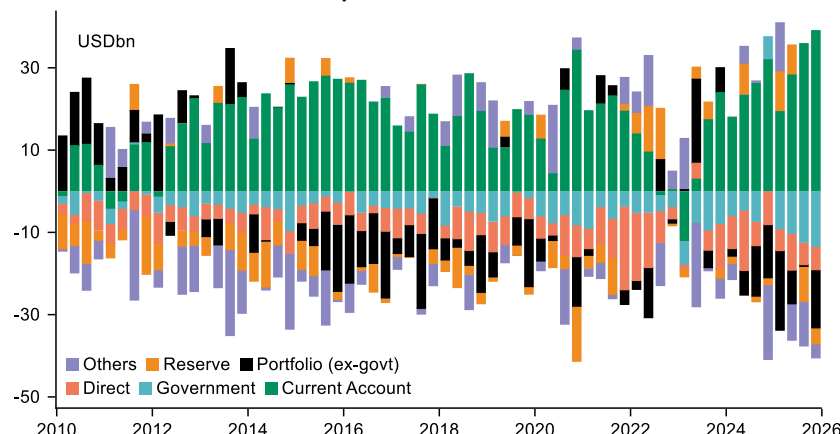
KRW: Bumpy road to break out

Bullish, with improved flow: We are bullish on the won this year with an end-2026 forecast of 1400 that reflects our expectation the currency will outperform broad Asia FX and appreciate against the USD. As in other aging economies, the current surplus has been well-recycled into overseas investment (Figure 22) – led by institutional and retail investors – sparking persistent KRW weakness in the last few years. We expect that trend to reverse this year on the following factors:

- **Resistance to further KRW depreciation:** KRW weakness has caught the authorities' attention, given financial stability concerns, and we have seen rounds of smoothing efforts that managed to cap USDKRW topside. With authorities showing determination to stabilize FX, we think residents' depreciation expectations have likely faded meaningfully.
- **Solid base:** The memory super-cycle should offer a strong support for the current account surplus, a key KRW fundamental. Meanwhile, the currency has tended to appreciate in an upward electronics cycle, suggesting the current environment may be supportive for lower USDKRW, alongside a gradually lower USDRMB.
- **Government efforts to boost KOSPI:** We think current policies are seeking to guide long-term capital into local equities, from both domestic and foreign investors. These include potential National Pension Service asset allocation adjustments and efforts to prompt Korean lifers to overweight more local equities (*Infomax*, 25 September 2025). Combined with recent KOSPI outperformance, we believe these factors could help increase the attractiveness of domestic assets, thereby limiting the outbound investment that had been pressuring the KRW.
- **WGBI inclusion:** From April to November, KTBs will be gradually included in the benchmark index WGBI, mechanically creating about USD55–60bn of inflows, as per a finance ministry estimate (*Chosun*, 8 October 2025). Although high hedging ratios at Japanese passive funds may dent the FX effect (*Sedaily*, 3 February), we still expect a strong support for the KRW.

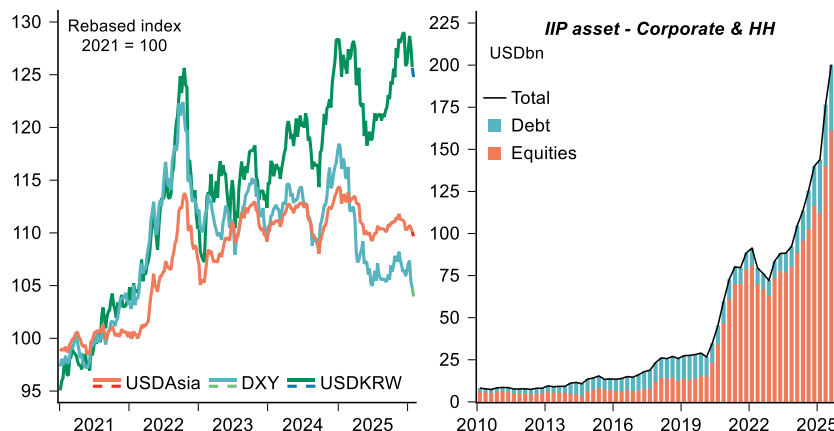
Good things take time: However much fundamentals may favor a stronger KRW, retail investors continue to chase overseas assets, buying dollars on any dip, out of a deep-seated belief Korean assets would underperform US, despite measures to encourage repatriation (*FX: Trail stop on short USDKRW*, dated 7 January). This sentiment will not shift overnight and the KOSPI rally must first prove durable. Hence, while we remain bullish on KRW, we expect USDKRW to stay range-bound until expectations for Korean assets improve markedly.

Fig. 22: South Korea's current account surplus has been mainly recycled by ODI and outbound portfolio investment since 2015



Sources: BoK, BNP Paribas

Figs. 23 and 24: KRW weakness, triggered by strong outbound investment, has prompted government measures



Sources: Bloomberg, BNP Paribas

TWD: The ritual of embracing overseas assets

More underperformance: We expect USDTWD to trade in a range of 31–32 this year, with a slight depreciation bias towards the local currency. Our year-end forecast is at 31.8. TWD should underperform given the current account surplus continues to be well-recycled, alongside Taiwan's low-yielder status that make it an attractive funder in a risk-supportive environment.

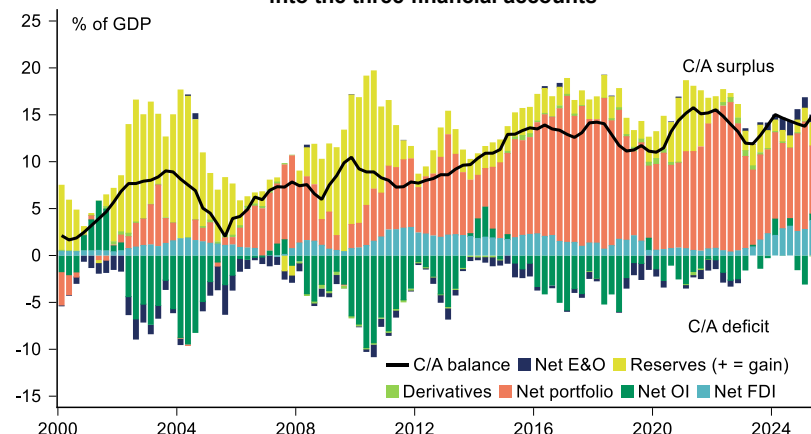
- **Corporates:** Taiwanese firms have rapidly expanded overseas capacity under client demand to increase geographical diversification. Alongside the USD250bn investment promise to US, we expect exporters to keep accumulating FX positions, a trend that is shown by a pickup in 'other investment' (OI in Figure 25) and which we expect to continue.
- **Retail:** Like Japan and South Korea, retail investors in Taiwan have a strong appetite for overseas assets, concentrated in US fixed income given a thirst for higher yields. Bond ETFs had been the main channel for this over 2018–2023 but we think retail outbound investment now flows mainly through sub-brokerage and wealth management (*Taiwan FX: Remains a funder*, dated 18 March 2025)

Neutral FX policy, less uncertainty: The CBC's FX policy is likely to stay neutral this year, in our view. TWD NEER sits in the 'dynamic stability' range ($\pm 5\%$ of 3yMA. Figure 27), meaning risks to financial stability and for imported inflation look limited. This environment gives the CBC little incentive to be active on FX.

However, as non-tech sectors still face a 15% US tariff and given intense competition with Chinese peers, we think the central bank may tolerate a modest depreciation of the TWD to support those industries. Meanwhile, we think the CBC's joint statements with the US Treasury have also reduced policy uncertainty, making a replay of sharp TWD appreciation unlikely. (*Taiwan FX: Not a May-jà Vu*, dated 17 November 2025)

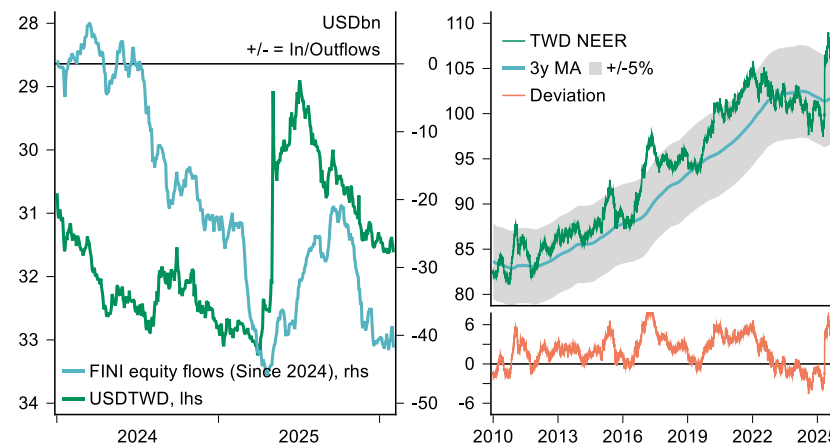
Lifers' hedging unwind offers support: Taiwan lifers have continued to reduce hedge ratios (from 67% to 50% in the last six months, equating to about USD85bn of flows) with accounting adjustments that allow a large portion of their FX exposure to be amortised. This essentially reduces the FX supply in both onshore FX swaps and the NDF market. As the unwinding of FX swaps will affect onshore USD liquidity and require spot USD buying, which would need CBC approval, we see a much milder unwinding of FX swaps than NDFs given central bank's careful management of FX. Overall, the unwinding should also support USDTWD.

Fig. 25: Taiwan's substantial current account surplus is recycled more evenly into the three financial accounts



Sources: CBC, BNP Paribas

Figs. 26 and 27: Equities flows from foreigners could determine short-term movement, while TWD NEER is well within the CBC's dynamic stability range



Sources: TWSE, BIS, BNP Paribas

KRW rates: More bullish on long-end rates

We think KRW rates are already high, and see the rates curve as steep relative to the actual risk of rate hikes and the potential outcomes from supplementary budget talks.

In the front end, we have been running 2y KTB longs with FX-implied since June 2025 for the carry (see [EM rates: Long 2y KTB with FX implied funding](#)). Fundamentally, we consider there to be a high bar for Bank of Korea rate hikes and view as excessive the market's pricing in of 2–3 hikes by end-2027 (Figure 28). Historically, the 2017–2018 period is a comparable reference point from the export cycle perspective. The BoK hiked twice (once a year) during that period – but the absolute level of the starting policy rate was 125bp lower.

Furthermore, we think markets are factoring in the potential for inflation risk given concerns that elevated USDKRW levels could give way to a prolonged period of KRW weakness that adds to inflation through imports. This is not our base case. We remain bullish on the KRW over the medium term (see [page 10](#)) and expect USDKRW to decline this year.

Long-end receivers look good: At current levels, we have a bias for receivers in the long end as we expect the WGBI inclusion over April–November 2026 to support outperformance in long-end rates. Tracking funds that must replicate the index will have to buy KTBs in proportion to the outstanding supply, a large share of which (about 36%) lies in the long end (20y and beyond).

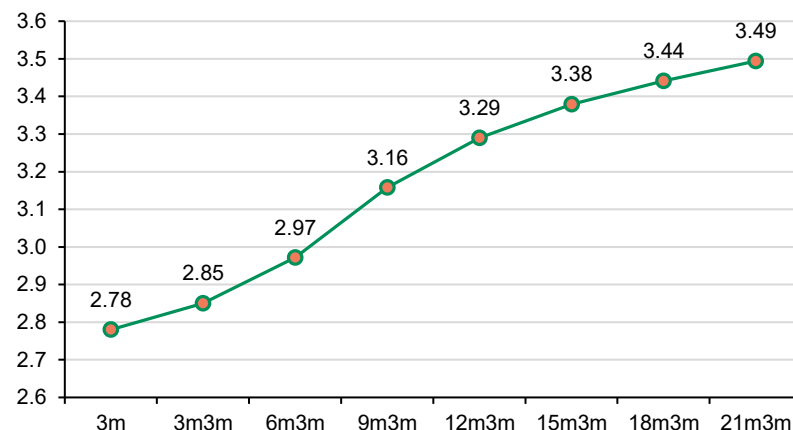
We also note that if the market is proved right in pricing 2–3 BoK hikes, then one might expect it to reflect a policy path the market sees as sufficient to curb inflation risks – which would again imply the curve should not be as steep as it is (Figure 29). Therefore, we are more bullish on long-end rates.

Meanwhile, potential growth is also expected to slow further. A BoK [research paper](#) published last December estimated South Korea's potential growth would continue moderating in the years ahead, which could imply a lower real neutral interest rate – and in our view means long-end yields should be lower.

We think the risks to a received position in the long end stem more from abroad, where global concerns over fiscal spending and fiscal sustainability could lead to periodic sell-offs. On the front end, the risks lie more to the FX side.

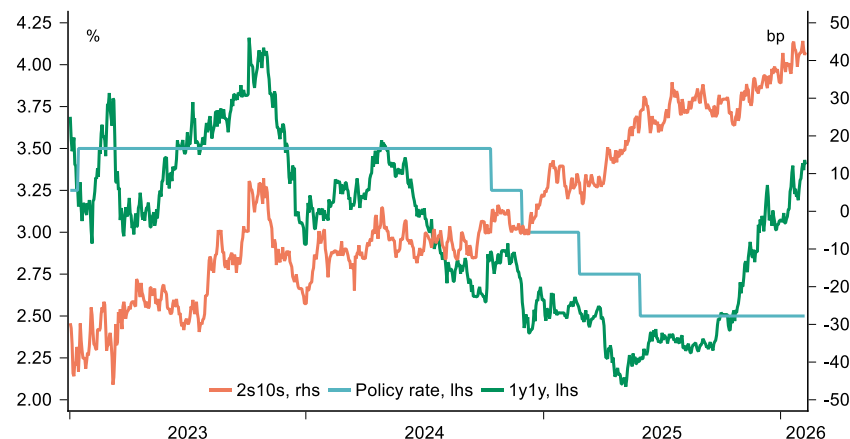
Finally, we also have a received position in implied yields, which performs as a risk-off hedge (see [EM strategy: Receive KRW m26 x z26 implied yields](#), dated 3 December 2025).

Fig. 28: Market pricing of rate hikes seems excessive (%)



Source: BNP Paribas

Fig. 29: 1y1y is already high and curve is too steep



Sources: Bloomberg, Macrobond, BNP Paribas

TWD rates: Stellar growth should keep curve steep

Steepening while Formosa runs hot: We expect the TWD rates curve to remain steep while persistent AI demand continues to push Taiwan growth beyond its long-term potential. From a beta perspective, global steepening helped by reflation and fiscal concerns could also provide support, especially the spillover from JGBs.

Bias to fade excessive tightening expectations: We have already noted the imbalances behind the growth, with tech sectors booming thanks to hyperscaler computing demand ([page 3](#)) while non-tech sectors struggle in the face of US tariffs and intense competition with Chinese peers. The imbalance has made broad-based inflationary pressure unlikely given most of the labor force is in non-tech sectors.

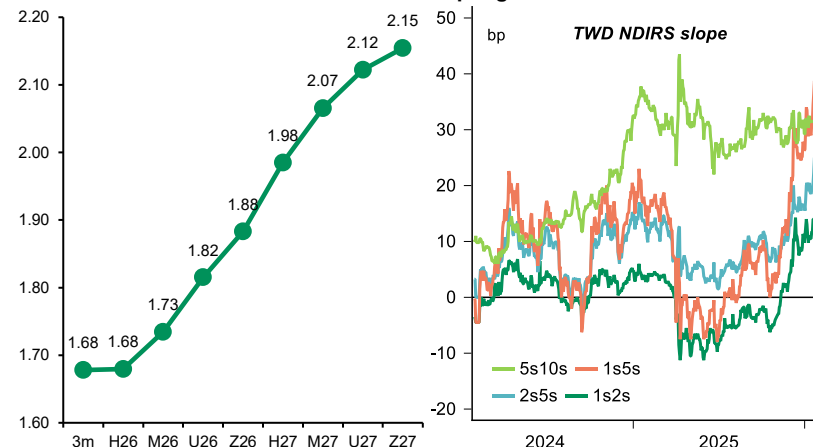
Despite expectations for a domestic consumption recovery, we think there is a limited immediate risk of tightening and therefore see as unconvincing current front-end market pricing for 47bp of hikes by end-2027 (Figure 30). Unfavorable systematic flows forced us to close our latest trade idea (see [EM rates: Close TWD 1y1y receivers](#), dated 2 February), but we note that CTA paid positions are close to max, suggesting risk-reward remains favorable alongside the carry/roll profile (see [BNP Paribas Global Macro CTA Tracker Chart Pack](#), dated 30 January).

That said, we acknowledge that the rally is likely to be mild given that risk-on sentiment in Taiwan equities and outperforming growth could make the curve supported. Hence, we now find very front-end receivers (within 1y) more appealing to express this view, given the limited beta and still-lucrative carry.

Caution on long end: As with KRW rates, we see long-end TWD rates valuations as appealing to receive given the structure of economy still points to lower potential growth. However, we hold back from engaging long-end risk given lingering concerns about windfarm hedging flows. This is especially the case as recent progress on corporate power-purchase agreements ([Newtalk](#), dated 23 December 2025, Chinese only) should help secure renewable energy demand, which in turn could attract more windfarm developers and encourage more project financing hedging flows. For more on Taiwan's windfarms, see [Taiwan: Windfarm development key to green transition](#), dated 8 January 2024.

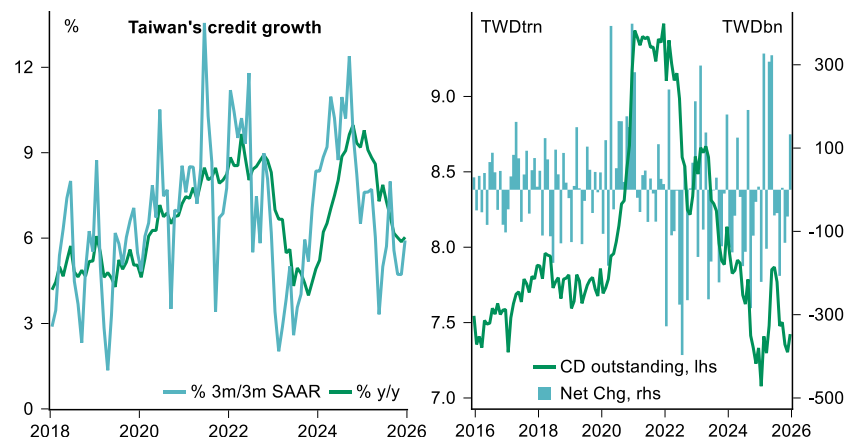
Limited fiscal risk: We believe an expected rise in TGB outstanding (TWD172.7bn, [MoF](#), Chinese only) this year will have only a limited impact on the TWD IRS market, as flush domestic liquidity should easily absorb supply. Notably, the CBC has been releasing locked liquidity (via NCD issuance) since 2022 to support the economy.

Figs. 30 and 31: The TWD rates curve has seen a broad steepening on the back of bumper growth



Sources: Bloomberg, BNP Paribas

Figs. 32 and 33: Taiwan's credit growth suggests still-sluggish domestic demand, encouraging the CBC to inject liquidity



Sources: CBC, BNP Paribas

Equity derivatives: Taking a breather along the re-rating journey

Taking a breather: South Korea's KOSPI 200 (+23.5%) and Taiwan's Taiex (+9.7%) have been two of the best performing indices in APAC equities year-to-date – and have outperformed both the Nasdaq 100 (–0.7%) and Magnificent 7 (–4.1%) by a significant margin. We believe a main driver of this performance divergence is the sentiment shift between hardware and software, with key tech companies in South Korea and Taiwan in a strong position to monetize robust demand for hardware given their lead in cutting-edge chips for AI.

We recently closed our long option positions on the KOSPI 200 and the Taiex following the earnings reports of major tech hardware companies in Asia and the US (see [Tactical rotation in Asian tech stocks](#), dated 30 January).

Foreign profit-taking, domestic retail dip-buying: Foreign investors net sold USD3.6bn in South Korea equities on 5 February, the largest one-day unwind since the data series began in October 1999. In Taiwan, foreign investors sold USD2.2bn, the largest daily equities net outflow since November 2025. This is consistent with the profit-taking behaviour we have observed over the past few months.

On the other hand, South Korean individual investors bought USD4.6bn of KOSPI constituents on the same day. The South Korean government is planning to introduce the Reshoring Investment Account (RIA) as it seeks to encourage more repatriation of foreign holdings. We think there could be large fluctuations between foreign and domestic sentiment in the near term, subject to the performance of other popular retail investments (e.g. US equities, precious metals, digital assets).

Medium-term appeal: Despite a near-150% rally from lows seen after the April 2025 'Liberation Day' US tariffs, the KOSPI 200 is still trading at only 8.4x 12-month forward P/E – below its long-term average. This largely reflects significant earnings growth expectations, with consensus calling for a 126% y/y jump in 2026 EPS. At 17.1x 12-month forward P/E, the Taiex is also trading at a more-than-25% discount to both the Nasdaq 100 and Nikkei 225, the other two tech-heavy indices with high exposure to the semiconductor sector.

We agree these relatively inexpensive valuations may signal medium-term appeal of South Korea and Taiwan equities, but prefer to wait for a better entry point given elevated volatility – KOSPI 200 10-day realised volatility is at 55.7v versus 13.5v for the S&P 500. We are also monitoring the sustainability of strong pricing in memory and storage chips given their outsized contribution to EPS expectations in both equity markets.

Fig. 34: Foreign investors have sold a sizable chunk of Korea, Taiwan equity holdings during February

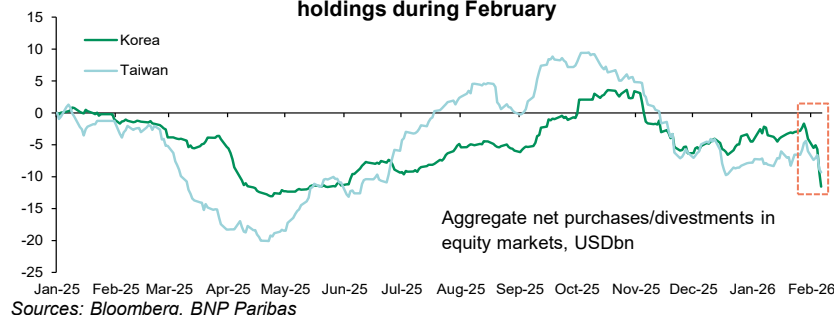
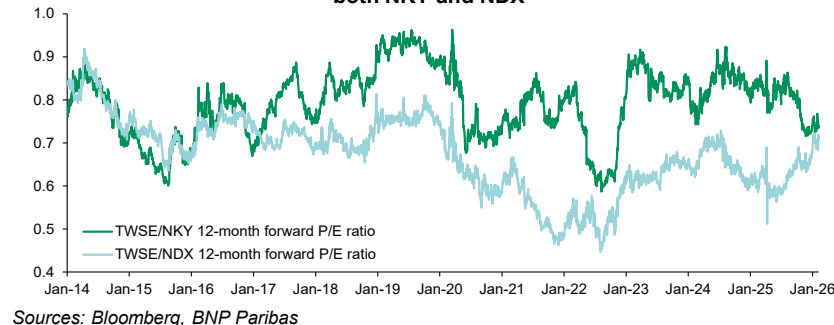


Fig. 35: KOSPI 200 12-month forward P/E remains below its long-term average



Fig. 36: TWSE trading at a more-than-25% valuation discount to both NKY and NDX





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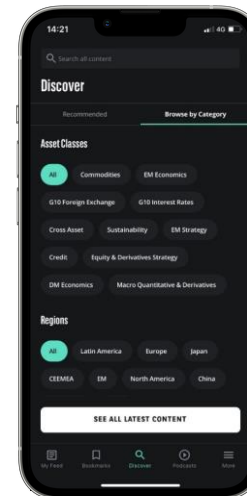
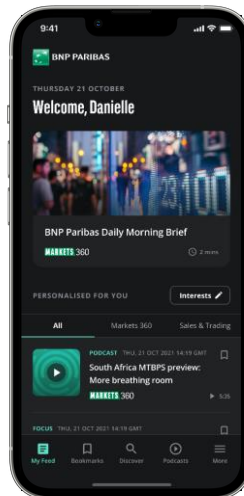
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Section A and B services include A. Investment services and activities: (1) Reception and transmission of orders in relation to one or more financial instruments; (2) Execution of orders on behalf of clients; (3) Dealing on own account; (4) Portfolio management; (5) Investment advice; (6) Underwriting of financial instruments and/or placing of financial instruments on a firm commitment basis; (7) Placing of financial instruments without a firm commitment basis; (8) Operation of an MTF; and (9) Operation of an OTF. B. Ancillary services: (1) Safekeeping and administration of financial instruments for the account of clients, including custodianship and related services such as cash/collateral management and excluding maintaining securities accounts at the top tier level; (2) Granting credits or loans to an investor to allow him to carry out a transaction in one or more financial instruments, where the firm granting the credit or loan is involved in the transaction; (3) Advice to undertakings on capital structure, industrial strategy and related matters and advice and services relating to mergers and the purchase of undertakings; (4) Foreign exchange services where these are connected to the provision of investment services; (5) Investment research and financial analysis or other forms of general recommendation relating to transactions in financial instruments; (6) Services related to underwriting; and (7) Investment services and activities as well as ancillary services of the type included under Section A or B of Annex 1 related to the underlying of the derivatives included under points (5), (6), (7) and (10) of Section C (detailing the MiFID II Financial Instruments) where these are connected to the provision of investment or ancillary services.

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In addition, there is a mitigation measure to manage conflicts of interest for each transaction with controls put in place to restrict the information flow, involvement of personnel and handling of client relations between each transaction in such a way that the different interests are appropriately protected. Gifts and Entertainment policy is to monitor physical gifts, benefits and invitation to events that is in line with the firm policy and Anti-Bribery regulations. BNPP maintains several policies with respect to conflicts of interest including our Personal Account Dealing and Outside Business Interests policies which sit alongside our general Conflicts of Interest Policy, along with several policies that the firm has in place to prevent and avoid conflicts of interest.

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